

HALQA

The ROSCA Literature — What Five Studies Actually Say

*A close reading of the academic evidence on Pakistani committees
and what it means for what we are building · 2 August 2026*

Five sources requested. Four obtained in full or near-full text.

Where a source could not be reached, this report says so rather than guessing.

The literature does **not** agree with itself. That disagreement is the most valuable thing in it, and this report is organised around it.

o · What was read, and how

Honesty about sourcing first, because three of the five links were blocked and a report that hides that is worthless.

Source	What it is	Access
Mehmood et al. (2018) "Save My Money: Digitizing Informal Savings in Pakistan"	HCI Across Borders workshop paper. Information Technology University Lahore + University of Washington. Funded by the Gates Foundation and Karandaaz Pakistan.	Full text. PDF downloaded and text-extracted locally (8 pp).
Kamran (2017) "ROSCAs Role in Facilitating Control to the Unbanked: Evidence from Pakistan"	Electronic Journal of Business Ethics and Organization Studies, Vol. 22 No. 2, pp. 4–13. Qualitative, 30 unbanked informants.	Full text. Retrieved inside the author's doctoral dissertation (191 pp) after the direct journal link failed a certificate check.
Kamran (2018) Doctoral dissertation, University of Jyväskylä	"The marketplace vulnerability of low-income unbanked consumers." Four papers, of which the 2017 ROSCA study is one.	Full text (191 pp) plus repository abstract.
Khan (2013) "Are ROSCAs providing an alternative funding source for poor?"	Journal of Economics and Sustainable Development, Vol. 4 No. 19. Fieldwork in Dera Ghazi Khan, Pakistan.	Abstract, methodology and conclusion. The Scribd link was unreachable; the paper was located at its original journal (IISTE).
Meer (n.d.) "Pakistan's committee system: benefits and risks"	Journalistic commentary, not peer-reviewed. Treated as illustrative only.	Full text.

Two further items were sought and not obtained: the ACM/CSCW full version of the Mehmood work (paywalled) and the SciSpace PDF (403). Nothing in this report depends on either.

1 · The numbers that matter

Every figure below comes from a named source. Where a number is survey-derived rather than measured, that is stated.

13% of Pakistani adults hold a formal bank account (Global Findex, via Kamran 2017)	33% of Pakistanis who save, save through a committee (FII, via Mehmood 2018)	63% hide cash in the house instead (FII, via Mehmood 2018)	12% of committee users have lost money to fraud (FII Wave 3, via Mehmood 2018)
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Figure	What it means	Source
100 million	Pakistanis without access to formal financial services.	World Bank, cited in Mehmood et al. 2018
36% / 4%	36% of Pakistanis save money at all; only 4% of savers use a formal financial institution. The other 96% save informally.	Financial Inclusion Insights, cited in Mehmood 2018
2×	Women are twice as likely as men to participate in committees.	FII, cited in Mehmood 2018
19%	of committee participants use the pot for a one-time durable purchase — a television, an air conditioner.	FII, cited in Mehmood 2018
31%	of committee users can send and receive a text message. Just over half own a mobile phone at all.	FII, cited in Mehmood 2018
30	low-income unbanked informants interviewed in depth — tailors, taxi drivers, housemaids, shopkeepers, a welder, a dry cleaner — earning roughly Rs 7,000–26,000 per month.	Kamran 2017, sample table

Read the first two numbers together, because that is the entire market thesis. Only 13% of adults have a bank account, and of the people who do manage to save, 33% do it through a committee while 63% hide cash at home. The committee is not competing with banks. It is competing with a cupboard.

2 · The central contradiction — and why it is good news

Two of these studies say the committee is a powerful instrument that gives poor people control over their money. Two say it fails the poor and cannot replace formal finance. Both are right, and reconciling them defines our market precisely.

The case for: committees give control

Kamran's 2017 study of 30 unbanked Pakistanis found that committees "enjoy high levels of legitimacy" and that their culture and rules "help the unbanked participants to control and manage their everyday financial affairs and mitigate their vulnerability." Strikingly, **not one of his thirty informants reported a member default**. He records exactly one case of organizer fraud across the whole sample.

The case against: committees exclude the poorest

Khan (2013), working in Dera Ghazi Khan, reaches the opposite conclusion. Regular income is a *precondition* for committee participation, which makes committees popular among the salaried — and means the genuinely poor, whose income is irregular and insufficient, are systematically kept out. Poor applicants are seen as risky and excluded. Her conclusion is blunt: ROSCAs cannot fund the poor and cannot substitute for microfinance.

Kamran's own dissertation (2018) lands in the same place at the aggregate level: committees "can neither substitute for the formal financial institutions" nor reliably let members manage their finances, because they cannot guarantee safety or enforce anything legally.

Resolving it — the distinction the literature is groping for

These findings only look contradictory if "the poor" is treated as one group. Split it in two and both sets of findings hold simultaneously:

The **destitute** — irregular, insufficient income → excluded by the group itself (Khan)

The **regularly-earning near-poor** — a tailor on Rs 17,000/month, a taxi driver on Rs 22,000 → served well, and reporting near-zero defaults (Kamran)

The committee is not a poverty-alleviation instrument. It is a **cash-flow-smoothing instrument for people with modest but predictable income who have no bank**. That is a precise, sizeable, and entirely honest market definition — and it is exactly the population Kamran interviewed.

Why this is good news for us, and it is the single most important sentence in this report: the literature says committees work when income is regular and fail when it is not. Our payday-collection engine — declared salary day, verified from our own collection pattern, pull on the morning the money lands — is a direct technical attack on the exact variable the literature identifies as decisive. We did not build it from this research; we built it because a chacha said "I pay as soon as my pay arrives." The academic evidence now says he named the binding constraint of the entire institution.

Check yourself

Khan says committees exclude the poor. Kamran says committees give the unbanked control. In one sentence, how can both be true?

Because they are describing different people: Khan's excluded poor have irregular income and never get in; Kamran's informants have modest but regular income and are already inside. The committee filters on income regularity, not income level.

3 · What a committee actually does for a poor household

Kamran's interviews are the richest material of the five, because they are people explaining their own reasoning. Four mechanisms emerge, and only one of them is about saving.

Mechanism one — it puts the money beyond your own reach

If you have money in your hand, then it will be spent... Money cannot be saved this way. When we give money to a Committee fund, it is our savings.

Jelo, 40, private school teacher

This is the commitment-device function economists describe. Nothing surprising — until the next quote reframes it entirely.

Mechanism two — it is a shield against your relatives

If you keep the money yourself, then when someone asks for money, you cannot refuse them... When the money is in someone else's possession, then people cannot ask for the money.

Sami, 22, grocery shopkeeper

This is the finding I did not expect, and it changes how we should think about the product. In a collectivist society, refusing a relative's request for a loan is socially costly — sometimes impossible. Money at home is not really yours; it is claimable by anyone in your network with a hardship. Putting it into a committee makes it *legitimately unavailable*. The member is not only protecting their savings from themselves; they are buying a socially acceptable excuse to say no.

The product implication is sharp: the fact that committee money is **locked and visible as locked** is a feature, not a friction. Anything in our design that makes a member's commitment more evident to their family strengthens the very thing they joined for.

Mechanism three — it outranks rent

I know that I have to pay the Committee instalment; it is necessary. We can compromise on rent or [utility] bills, but Committee [instalments] should not be missed.

Bano, 36, housemaid, earning Rs 15,000/month

Read that again. A woman earning Rs 15,000 a month places her committee obligation **above her rent and her electricity bill** in the payment hierarchy. Not because the committee can evict her — it cannot — but because the social consequence of failing her group is worse than the consequence of being late to her landlord.

For underwriting this is the most valuable sentence in the literature. It means committee repayment behaviour is not a weak signal to be treated cautiously — it is a member's *highest-priority*

obligation, and therefore an unusually strong predictor of character. The Credit Passport is not exporting a soft signal. It is exporting the hardest one the household has.

Mechanism four — it is a mutual-aid network with a schedule attached

Three distinct forms of assistance appear in the interviews, none of them written in any rule: turn swaps between members; the organizer moving someone's turn forward for an emergency; and members privately lending each other part of a received pot, repaid when the lender's own turn arrives.

It was my daughter's marriage. First, I told Baji [the organizer] that in the fifth month, I have to marry my daughter off... she gave me the Committee funds in the fourth month. She did me a favour.

Bano, 36

Note what Bano received: not money she was not owed, but the *same* money one month earlier. The organizer's discretionary power over timing is the committee's emergency-relief system, and it costs the group nothing.

4 · Enforcement — how a system with no contracts achieves near-zero default

Kamran reports that **none of his thirty informants had experienced a member default**. For a system with no collateral, no legal instrument and no credit check, that demands explanation. Four mechanisms do the work.

The organizer is the guarantor of last resort

The most consequential single line in the paper: "If a group member failed to pay the instalments or disappeared after joining, then the organizer had to contribute the amount due from his/her own pocket."

They are our neighbours. They do not run away... Even if someone does run away, then the person who created the first Committee is responsible. It is his job to decide whether to accept someone into the Committee. We do not experience any tension.

Khan, 44, taxi driver, illiterate

The logic is exact and worth admiring: **the person who chooses the members bears the loss if they fail**. Selection risk and financial risk sit with the same person, so the organizer has every incentive to admit only people he can vouch for. No underwriting department in any bank has cleaner incentive alignment than this.

Locality is the fraud control

If the organizer is a local, there is no fear; if he is local, then we know he lives here. His house and shop are here... But if he is not local, then there is concern that he may run away. Then, who will pursue him?

Noor, 32, tailor, illiterate

Members are not assessing character in the abstract. They are assessing *traceability* — does this person have immovable assets and a life in this neighbourhood that they cannot walk away from? That is collateral without a lien.

Selection, then exclusion

The organizer screens on "honesty, trustworthiness, past history in Committee programmes and their financial ability." A member who defaults is barred from future committees; a member who is merely chronically late risks the same. In a community where the committee is the only credit available, exclusion is a severe penalty.

Forbearance, rationed

Organizers permit missed instalments to be caught up later — but Kamran notes this is offered "only once or twice during a programme and only in cases of genuine need." Discretion exists, and it is deliberately scarce.

The uncomfortable read on our own model

A record-only platform removes the organizer's cash custody — which is right, and kills the fraud in §5. But notice what else it removes: **the organizer's role as guarantor of last resort**. In the traditional system the host absorbs a default from his own pocket. On our platform, today, the circle absorbs it. We have not yet decided whether that is a gap to fill or a difference to disclose plainly. The literature says members' sense of security rests substantially on that guarantee, so this deserves a deliberate answer rather than silence.

5 · How committees fail

The literature names three failures, and our architecture already answers two of them completely.

Failure	Evidence	What Halqa does
The organizer absconds	12% of committee users report losing money to organizer or member fraud (FII Wave 3). Kamran's informants feared it constantly; one had experienced it. Meer cites the Sidra Humaid case.	Structurally impossible. No pooled account exists to steal — money settles member to member and Halqa keeps the ledger.
Cash is stolen or seen	Members fear robbery when carrying the pot home. Worse, neighbours <i>know</i> the pot arrived and ask for loans — refusing damages relationships.	Solved incidentally. Digital settlement means no cash journey home, and no visible event for the neighbourhood to observe. This benefit is invisible to us and enormous to them.
Late turns lose value	Early recipients are "happy," late recipients "disappointed." Kamran notes the late turn suffers inflation erosion and psychological stress from waiting.	Not yet solved. This is precisely what the second-stage Vault addresses — and the literature independently confirms it is a real grievance, not an invented one.

You say, "I have the Committee money." Your wife tells the neighbours, who watch your Committee money... If you keep the Committee money at home, then there is fear of theft.

Chand, 40, tailor

The privacy finding deserves its own line in our marketing. Nobody in our team would have listed "the neighbours won't know you received the pot" as a product benefit. Kamran's informants raise it unprompted, repeatedly, as a genuine anxiety. Digital settlement delivers it for free.

6 · What the literature says about our architecture

Mehmood et al. — ITU Lahore with the University of Washington, funded by Gates and Karandaaz — set out in 2018 to design exactly the product we are building. Their paper contains two passages that read as though written about Halqa.

They independently derived our legal structure

Holding money deposits is not allowed without a license, and therefore the money flowing in and out of the ROSCA app could be directed to an individual's mobile wallet with the ROSCA app serving as a conduit.

Mehmood et al. 2018

That is our no-custody design, stated by academics eight years ago as the solution to the licensing constraint. We reached it from the fraud angle; they reached it from the regulatory angle; it is the same answer. When a regulator asks why we are structured this way, this citation is worth having.

They laid out four models, and we are model two

Their taxonomy runs from informal to formal:

1. **Record-keeping app only** — the organizer logs payments. They warn that payment legitimacy "can be questioned and subject to fraud, limiting usefulness for credit rating." *This is what kameti.pk and Udhaar are, and it is why a ledger alone cannot produce a credit score.*
2. **Social groups, payments through mobile wallets** — creates a real payment history usable for credit rating; default risk sits with the members. *This is Halqa exactly.*
3. **Rating system connecting strangers** — larger groups beyond one social network, with fractional contributions matched algorithmically. *This is our marketplace and public-circle tier, and our score band system.*
4. **Institutional ROSCAs** — a bank carries the default risk. *Ruled out by standing directive.*

Their point about model one matters commercially: **a digitised notebook cannot generate a credible credit history, because the payments themselves are unverified.** That is the technical reason our ledger is worth more than a competitor's — not that ours is prettier, but that ours records settlement rather than assertion.

They named the same product roadmap

Their listed goals: solving record-keeping, safety and privacy of money, handling frauds and defaults, **linking participants directly with vendors for purchases**, and **building payment histories and credit ratings that increase access to formal borrowing.** The last two are our Goal Direct-Pay and our Credit Passport, proposed independently in an academic paper before either of us thought of them.

7 · Design constraints the literature imposes on us

Finding	What it forces
Only 31% of committee users can send or receive an SMS. Just over half own a phone.	Literacy is a first-order design constraint, not an accessibility afterthought. The literature recommends text-free interfaces, iconography, audio guidance and voice. Our current app assumes a literate smartphone user — for the mass market that assumption fails for two users in three.
Phones are shared within households.	A woman's committee activity may be visible to whoever else uses the handset. Given that committee money is often specifically protected <i>from</i> household claims, this is a privacy risk with real consequences. Our PIN-on-every-open is more valuable than it looks.
Women participate at twice the rate of men, but lag in phone ownership.	Our largest natural user base is the one least served by a smartphone-first product. Any serious growth plan has to confront this directly.
Bidding committees raise interest concerns in an Islamic society.	The literature flags bid-based ordering as religiously problematic. Our marketplace premium sits in exactly this territory — which is why the zero-premium swap-only tier exists, and why it should stay.

Check yourself

Why does the "31% can send an SMS" figure matter more to our roadmap than the "12% have lost money to fraud" figure?

Because fraud is the problem we have already solved by architecture, while literacy is a constraint we have not yet designed for at all. The first validates the product; the second limits who can use it.

8 · What to take from all of this

Validated — say these with citations behind you

- The no-custody conduit design is what academic researchers proposed as the correct legal structure for a digital ROSCA in Pakistan (Mehmood et al. 2018).
- A record-keeping app alone cannot produce a usable credit history; only verified settlement can. Our ledger is a different category of asset from a digitised notebook.
- Committee repayment is a member's *highest-priority* obligation, ranking above rent — so it is an unusually strong credit signal, not a weak one.
- Members fear the organizer absconding, and 12% have been defrauded. Removing the pot removes the fear they name most.
- Late-turn inflation loss is a documented grievance in members' own words, which is the case for the second-stage Vault.

Challenged — stop saying these

- **Do not claim we serve "the poorest."** Two independent studies find committees exclude those with irregular income. We serve the regularly-earning unbanked, which is a large and honourable market. Claiming more is both false and easy to disprove.
- **Do not present committees as a substitute for formal finance.** Kamran's dissertation says explicitly they are not. Our better claim is that we are the *on-ramp* to formal finance, not a replacement for it — which is what the Credit Passport actually does.
- **Do not assume literacy.** Two-thirds of committee users cannot read a text message.

The open question this research created

In the traditional system the organizer personally covers a defaulting member's instalment, and Kamran's informants cite that guarantee as the main reason they feel safe. Our platform removes the organizer's custody — correctly — but with it, that guarantee. Either we reproduce it (a host guarantee, a circle pool, or platform cover at the licensed stage), or we state plainly that it is gone and that seat arithmetic replaces it. Both are defensible. Silence is not.

Prepared 2 August 2026. Full texts of Mehmood et al. (2018) and Kamran (2017, 2018) extracted and read in full; Khan (2013) read at abstract, methodology and conclusion level; Meer treated as journalistic illustration. Every figure attributed. Where a source could not be reached it is named as such in §0.